number because most funds straddle multiple strategies, the largest 25 distressed players alone managed around $600 billion in 2022. Restructurings are increasingly imposed by and designed to maximize recovery for the megafunds. Anyone else (vendor, junior creditor, labor) is, as Iggy Pop used to say, a passenger who rides and who rides. Creditor-on-creditor violence is real, or as one expressive lawyer put it, the "cannibalistic assault by one group of lenders in a syndicate against another." Is the laudable goal of Chapter 11 to maximize the value of the debtor for all creditors and distribute it fairly and equitably, let alone amicably, ancient history? I don't believe so.

It's worth noting that distressed investing is not graveyard dancing; it's rebuilding, which is in the best interest of all constituencies. Through a capital restructuring, or an operational turnaround, or most likely both, a company can become viable again, with employees and vendors paid on time and growth prospects supported by sustainable financing sources.

The second tsunami is the Federal Reserve's intervention in the capital markets, including corporate debt. This is a new phenomenon that neither the value investing creators nor the Chicago School academics envisioned. After all, quantitative easing (QE) was introduced in the United States only in 2008. It made sense then: the Great Financial Recession was a liquidity and solvency crisis. How do you combat it? By injecting liquidity. Subsequent crises were neither, yet the Fed has used more versions of QE than there are sequels of *The Matrix* (QE 1, 2, 3 and 4, and Operation Twist between 2008 and 2014). As a result of the Covid-19 crisis, it deployed an even greater-reaching program, dipping its toes into purchasing high-yield bonds. One of many direct results is that episodes of debt dislocation have dramatically shortened, and supply of distressed bonds has become disappointingly shallow. While the peak-to-trough distressed bout persisted for over a year during the Global Financial Crisis and the